

On Hayek: Interpretation of Spontaneous Order

This paper aims to resolve a debate about whether or not Hayek committed the naturalistic fallacy when developing his economic philosophy on spontaneous order by examining the arguments primarily made by Angner and Caldwell, and by dissecting Hayek's thoughts around the theory of cultural evolutionism, specifically, how Hayek visions a spontaneous order of society. This paper will decompose the debate into three parts, each of which will compare and contrast the argument made by Angner and the rebuttal made by Caldwell and Reiss while interweaving the relevant concepts explained by other scholars. The first part investigates the "strong normative readings" (Angner 2004: 352) and the "evolutionary argument" (Angner 2004: 352). The second part settles the dispute on the validity of the "descriptive reading" (Angner 2004: 353) and the last part inspects the "weak normative reading" (Angner 2004: 356) and the attempt to formalize the theory developed by Hayek into formal logic. This paper seeks to justify that Caldwell and Reiss have provided a clearer clarification of their interpretation of the theory of cultural evolution though the approach by Angner is still valuable as it captures the complexity of Hayek more thoroughly.

Angner starts by categorizing several blocks of text as "strong normative reading" to demonstrate that Hayek hoped to endorse that spontaneous orders have something desirable normatively. Caldwell and Reiss critique that this reading does not accomplish what Angner wished as it fails to assert a *cause-and-effect* relationship between the survival of a social order through an evolutionary process and its optimality compared to others. The word "survival" implies that this social order exists both before and after the evolutionary process, hinting at a chronological order. If this were the case, Caldwell and Reiss fail to capture what Angner intends to illustrate. Angner wishes to leave an impression that Hayek has committed the naturalistic

fallacy in the form of “*because* the current social order developed along an evolutionary process, this order is optimal”, which hints more at a biographical order. One may argue this interpretation fits the reading provided better as the reading consistently discusses how the process of selection enhances how individuals behave to preserve the group as a whole under different circumstances. The reading does not suggest that there used to be many social orders and because the current one survived the evolutionary process, the current one is optimal. Therefore, the refutation formulated by Caldwell and Reiss on this issue is flawed. Angner will then resolve this supposed understanding of Hayek committing the naturalistic fallacy in later paragraphs. Another misinterpretation occurs in Caldwell and Reiss addressing the reasons why people misread Hayek. As the last point, they point out that “Hayek made explicitly positive claims about evolutionary processes” (Caldwell, and Reiss 2006: 365) supported by their stating that Hayek described the emergence of markets in a similar way to how farms emerged. The supposed positive claim should be a normative one as the text quoted by Angner from the essay “The Origin and Effects of Our Morals: A Problem for Science” (2006: 351) clearly describes the situation mentioned. Not only is this text considered to be part of a “strong normative reading” by Angner, but by the time Caldwell and Reiss’ paper was published, the sole existence of the Soviet Union would render the claim “for at least some of these practices, ... would result in a society that would not be able to support the large population that now exists” fallacious, as the central planning did support a large population, only not indefinitely. Even though Caldwell and Reiss formulated a flawed response, one can still not relieve Angner from doubt. One believes that Angner fails to support his claim with his evidence. The reading can only support the claim that “*because* some social rules are *desirable*, individuals have evolved in these ways”. This claim can also explain the impossibility of replacing such a spontaneous order as other

social orders were considered *undesirable* so individuals disposed of them as society developed. This explanation is consistent with the idea of methodological individualism adopted by the Austrian school and thus should be considered more evidential. To sum up, neither Caldwell and Reiss provided an accurate rebuttal nor the claim by Angner can be fully supported by the reading.

Angner then offers a disproof for which he categorizes the evidence presented by Caldwell and Reiss to be “descriptive reading”. Caldwell and Reiss dismiss this argument by highlighting the premise on which Angner refutes is taken out of context and reaffirming their longstanding position about whether or not Hayek committed the naturalistic fallacy, which in this case, both parties of the debate agree that Hayek did not do so. Yet, one should still examine the cogency of the disproof made by Angner. Angner seeks to demonstrate that the claim that Hayek does not believe evolved orders to be desirable and does not endorse the evolutionary argument is ill-supported. One of the pieces of evidence Angner uses is a segment from an interview with Popper, as he claimed to be a “well-informed observer” (Angner 2004: 355). The logic of this supporting the thesis follows that since Popper criticized Hayek’s theory by using the Indian caste system to deny that tradition is more desirable, given that Popper was a friend of Hayek, Hayek must have corrected him if Popper was mistaken, therefore, this interview should “be considered *some* evidence against the descriptive reading” (Angner 2004: 355). This logic not only appeals to authority but also relies on the probability that Popper did not mistake Hayek’s position because of friendship and communication. The lack of response from Hayek is the key issue as he neither confirmed nor denied he responded to such criticism. Even De Vlieghere can only “share Popper’s skepticism on this issue” (1994: 293). Furthermore, this logical formulation contradicts what Angner claims next, “If Hayek indeed rejected the claim ...

We should expect him to say so more forcefully” (Angner 2004: 356). On one hand, Angner gives Hayek the benefit of the doubt when the interview with Popper implies Hayek endorsed the evolutionary argument, on the other hand, Angner lays the burden of proof on Hayek such that Hayek must proactively deny this claim. The inconsistency in treating pieces of evidence thus weakens his argument. The refute by Caldwell and Reiss was not perfect either. They impose their understanding and misinterpret Angner once again. By developing the “descriptive reading”, Angner aspires to show that if one follows this reading, Hayek escapes the naturalistic fallacy, but will render his claims careless. However, Caldwell and Reiss interpret this development as Angner aspiring to show Hayek did not escape the naturalistic fallacy *because* the textual evidence is weak. This misunderstanding extends to suggesting that Angner only recognizes four pieces of literature, whereas Angner was just showing how these four occasions did not support the “descriptive reading”. Nonetheless, Angner should have disputed other inconsistencies as listed by Caldwell and Reiss which can further support his argument. To summarize this section, Angner fails to maintain consistency when treating evidence and should have considered other inconsistencies to repudiate the “descriptive reading” while Caldwell and Reiss could reevaluate Angner’s position better.

In the last part, Angner embraces the “weak normative reading” where he focuses on developing formal logic to demonstrate that the only consistent way to capture the complexity of Hayek’s theory is to interpret “evolved orders *tend to be* desirable” (Angner 2004: 356-357). Here, it is critical to mention that “Hayek has no compelling arguments for confidence in the spontaneous improvement of the institutional order” (De Vlieghe 1994: 292) and “Hayek...also go further and reject the assumption that spontaneous forces will, left alone, always generate the appropriate institutional framework” (Hodgson 1991: 78) both align with

Angner and Caldwell's claim that there does not exist evidence that shows Hayek guarantees optimality of an evolved order. Thus, Angner hopes to resolve the dilemma by introducing the concept of "tendency" and transforming the thesis into an inductive argument. Though Caldwell and Reiss successfully specify that the naturalistic fallacy is extra-logical such that Angner's effort to transform argument **A** into argument **B** does not resolve the fallacy itself, they fail to provide a proper analogy to the co-occurrence of spontaneity and desirability of social order. In the proposed analogy, they propose "every organism which has a heart also has a kidney" (Caldwell and Reiss 2006: 368) cannot deduce "O has a kidney *because* it has a heart". However, this premise is ambiguous, one may either interpret the deduction as

- (1) O is an organism
 - (2) O has a heart
 - (3) (For all O) O has a heart **AND** O has a kidney
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($\therefore$) O has a kidney

or as

- (1) O is an organism
 - (2) O has a heart
 - (3) (For all O) O has a heart $\rightarrow$ O has a kidney
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($\therefore$) O has a kidney

Both deductions are valid, where to conclude the first deduction, one relies on O being an organism not O having a heart, to conclude the second deduction, one relies on all three premises where one can infer O has a kidney because O has a heart as there exists an underlying premise

where O is an organism, and the organisms have certain properties. This analogy when applied to social orders fails to demonstrate what Caldwell and Reiss wish to accomplish since the way to dismiss the statement “O has a kidney *because* it has a heart” is to assert one does not know what O is other than O having a heart. Caldwell and Reiss have critiqued assertion A logically but have not done so with assertion B (Caldwell and Reiss 2006: 369). If assertion B becomes probabilistic, it will claim that “an order is most likely to be good or desirable because it is fit for survival”. This escapes the naturalistic fallacy as this claim implies probability, not cause-and-effect. Caldwell and Reiss seem to confuse this claim with “*a mystery*: why do some orders that are fit for survival fail to be desirable” (Caldwell and Reiss 2006: 369). The “mystery” has little relationship with the probabilistic claim as this mystery focuses on the event of lesser probability which is not of concern when addressing the naturalistic fallacy. Angner concludes that the inductive argument can be expanded to incorporate a desirable trait that occurs frequently in spontaneous orders which one can consider a way to escape the naturalistic fallacy. To summarize, Caldwell and Reiss have pinpointed that Angner cannot simply eliminate the naturalistic fallacy by introducing premises but they fail to propose an analogy to refute the extra-logical fallacy is not resolved as they claimed. Caldwell and Reiss have wrongfully identified that making assertion B probabilistic does not resolve the naturalistic fallacy while Angner has proposed a practical way to further expand the inductive argument.

In conclusion, it is commonly agreed among all scholars that Hayek does not offer evidence that guarantees an evolved order is desirable, but whether or not Hayek has committed the naturalistic fallacy remains debatable. De Vlieghere shares Popper’s skepticism surrounding the theory of cultural evolutionism by Hayek while both Angner and Caldwell and Reiss share the conclusion that Hayek did not commit the naturalistic fallacy. Angner aims to support this

claim by introducing “weak normative reading” to resolve the apparent concerns raised in “strong normative reading” and “descriptive reading”. However, his evidence for “strong normative reading” lacks logical structure such that his claim may be subject to reverse causation. The pieces of literature for “descriptive reading” are limited in amount and fall in the suspicion of appealing to authority. Even though the logical progression for “weak normative reading” lacks justification, his probabilistic model allows Hayek to escape the naturalistic fallacy. Caldwell and Reiss, on the other hand, misinterpreted Angner in several circumstances, their critique of Angner reflects his weakness in the article. They have also offered some insights on the reasons why people may misread Hayek which provided more detail about Hayek’s thoughts. Therefore, this paper has justified that Caldwell and Reiss have shown clearer clarification while Angner has brought forth the inductive argument that resolves the naturalistic fallacy.

References

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